Company and helped tip the power balance in favour of the British, allowing them a tough but assured victory in the battle for Punjab.

After a bitter battle, the British defeated the Sikh forces at the end of February 1846. The British, with the help of Gulab Singh, rapidly executed the Treaty of Lahore on 9 March 1846. This treaty compelled the vanquished infant ruler of Punjab, Maharaja Duleep Singh, to allow Gulab Singh to enter into a separate treaty with the British. The treaty recognised Gulab Singh's independent sovereignty in his existing territories and in any territories sold to him by the British. By all accounts, this was an extraordinary document and Gulab Singh's British ally, Col. Henry Lawrence, was a signatory to it.

The unusual turn of events did not end here. Exactly a week later, on 16 March 1846, the British signed a second treaty called the Treaty of Amritsar with Raja Gulab Singh. In this treaty, the British, who now had conquered the Sikh Empire, sliced off the valley of Kashmir and all territories of the Sikh Empire east of the river Indus and west of the river Ravi, and sold it to Gulab Singh for 75 lakh rupees in Nanakshahi currency, the currency of the Sikh Empire. This was the amount the defeated Sikh Empire had to pay the East India Company as war reparations for the just concluded Anglo-Sikh War. Historians argue that since the Treaty of Lahore specifically mentioned Gulab Singh's name just one week before he received Kashmir via the Treaty of Amritsar, there is enough reason to believe that there was a pre-war arrangement between Gulab Singh and the British over Kashmir.

Further, Raja Gulab Singh received indefeasible and sacrosanct ownership of Jammu and Kashmir and was recognised as the Maharaja of this new political entity. By virtue of the Treaty of Amritsar, the British obtained paramountcy in relation to defence, foreign affairs and communications over Jammu and Kashmir.